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GOLD

Fading Shine?

The government's decision to cut import duty on gold led to a dip in prices. But experts back the yellow metal and say the fall is temporary

BY NAVNEET DUBEY

► **THE GOVERNMENT'S** decision to slash import duty on gold from 15% to 6%, announced in the Budget, should have been a cause for celebration. But it was not.

The decision sparked a 9% fall in gold prices in July, plunging from an all-time high of ₹74,000 to ₹68,000 per 10 gm. That caused considerable heartburn among investors in gold exchange-traded funds (ETFs) and sovereign gold bonds (SGBs) since their values dropped by 5-6%. Prices have recovered slightly since then, following foreign trends, to around ₹71,500 per 10 gm on August 27.

The duty cut represents a departure from government practice of the recent past of raising rates to reduce imports, since this was one of the major sources of forex outgo and the resultant widening of